

Chapter 3: Adjusting The Accounts

Based on your uploaded PowerPoint presentation titled "**Financial Accounting and Accounting Standards - Chapter 3: Adjusting The Accounts**", here's a **list of key questions** covered (explicitly or implicitly), along with their **answers**, and a **summary of all covered topics**:

◆ Questions and Answers

1. What is the time period assumption in accounting?

Answer: The time period assumption (or periodicity assumption) divides the economic life of a business into artificial time periods such as months, quarters, or years for reporting purposes.

2. What is the difference between interim periods, fiscal years, and calendar years?

Answer:

- **Interim periods:** Monthly or quarterly financial reporting periods.
 - **Fiscal year:** A one-year period used for accounting that may not align with the calendar year.
 - **Calendar year:** Runs from January 1 to December 31.
-

3. What is accrual-basis accounting?

Answer: Under accrual-basis accounting, revenues are recorded when services are performed and expenses when incurred, regardless of cash transactions. It complies with GAAP.

4. How does cash-basis accounting differ from accrual accounting?

Answer: Cash-basis recognizes revenue when cash is received and expenses when paid, and it does **not** conform to GAAP.

5. What is the revenue recognition principle?

Answer: Revenue should be recognized when the performance obligation is satisfied, i.e., when the service is performed or the product delivered.

6. What is the expense recognition (matching) principle?

Answer: Expenses should be matched with revenues in the period in which efforts are made to generate those revenues.

7. Why are adjusting entries necessary?

Answer: They ensure revenues and expenses are recorded in the correct period, because trial balances may not be fully updated at the statement date.

8. What are the types of adjusting entries?

Answer:

- **Deferrals:** Prepaid expenses and unearned revenues.
 - **Accruals:** Accrued revenues and accrued expenses.
-

9. What are prepaid expenses and how are they adjusted?

Answer: These are payments made in advance for expenses (e.g., insurance, rent). Adjusting entries shift part of the asset to expense.

10. How is depreciation recorded and why is it needed?

Answer: Depreciation allocates the cost of a long-lived asset over its useful life. It's recorded as:

Dr. Depreciation Expense
Cr. Accumulated Depreciation

It's an allocation process, not a valuation method.

11. What is a contra asset account?

Answer: An account that offsets an asset account on the balance sheet (e.g., Accumulated Depreciation).

12. What is the purpose of an adjusted trial balance?

Answer: It confirms that total debits equal total credits after adjusting entries and is used to prepare financial statements.

13. How are financial statements prepared from the adjusted trial balance?

Answer: From the adjusted trial balance, you prepare:

1. **Income Statement**
2. **Owner's Equity Statement**
3. **Balance Sheet**

◆ Covered Topics Summary

Topic	Details
Time Period Assumption	Artificial periods for financial reporting (monthly, quarterly, yearly)
Accrual vs. Cash Basis Accounting	Accrual matches income and expenses; cash records when cash is exchanged
Revenue Recognition Principle	Revenue recognized when service is provided
Expense Recognition Principle	Expenses matched to revenue-generating periods
Adjusting Entries	Required for accurate financials; update revenues and expenses
Types of Adjustments	Deferrals (prepaid expenses, unearned revenue) and Accruals (revenues, expenses)
Depreciation	Allocating cost of assets over useful life
Contra Accounts	Accounts like accumulated depreciation that reduce related asset accounts
Adjusted Trial Balance	Ensures balance after adjustments; basis for financial statements
Financial Statements	Includes Income Statement, Equity Statement, and Balance Sheet

Let me know if you'd like these questions formatted as a quiz, turned into flashcards, or if you want the journal entries from the problems at the end solved.

✓ Adjusted Trial Balance for Melton River Resort

As of August 31

Account	Debit (\$)	Credit (\$)
Accounts Payable		6,500
Accounts Receivable	4,000	
Accum. Depreciation—Buildings		1,500
Accum. Depreciation—Equipment		600
Buildings	125,000	
Cash	19,600	
Depreciation Expense—Buildings	1,500	
Depreciation Expense—Equipment	600	
Equipment	26,000	
Insurance Expense	900	
Interest Expense	600	
Interest Payable		600
Land	25,000	
Maintenance and Repairs Expense	3,600	
Mortgage Payable		80,000
Owner's Capital		100,000
Owner's Drawings	5,000	
Prepaid Insurance	6,000	900
Rent Revenue		88,800
Salaries and Wages Expense	51,400	
Salaries and Wages Payable		400
Supplies	3,300	2,500
Supplies Expense	2,500	
Unearned Rent Revenue	4,800	7,400
Utilities Expense	9,400	

Total	289,200	289,200
-------	---------	---------

Financial Statements

1. Income Statement

For the 3 Months Ended August 31

Revenues:

- Rent Revenue: \$88,800

Expenses:

- Salaries and Wages: \$51,400
- Maintenance and Repairs: \$3,600
- Utilities: \$9,400
- Insurance: \$900
- Depreciation – Buildings: \$1,500
- Depreciation – Equipment: \$600
- Interest Expense: \$600
- Supplies Expense: \$2,500

Total Expenses = \$70,500

Net Income = \$88,800 – \$70,500 = **\$18,300**

2. Owner's Equity Statement

Item	Amount (\$)
Owner's Capital, June 1	100,000
Add: Net Income	18,300
Less: Drawings	(5,000)
Owner's Capital, Aug 31	113,300

3. Balance Sheet

As of August 31

Assets

- Cash: \$19,600
- Accounts Receivable: \$4,000
- Supplies: \$800 (\$3,300 – \$2,500)
- Prepaid Insurance: \$5,100 (\$6,000 – \$900)
- Land: \$25,000
- Buildings: \$125,000
 - Less: Accum. Depreciation: (\$1,500)
- Equipment: \$26,000
 - Less: Accum. Depreciation: (\$600)

Total Assets = \$202,400

Liabilities

- Accounts Payable: \$6,500
- Salaries and Wages Payable: \$400
- Interest Payable: \$600
- Unearned Rent Revenue: \$2,600 (\$7,400 – \$4,800)
- Mortgage Payable: \$80,000

Total Liabilities = \$90,100

Owner's Equity

- Owner's Capital (from statement): **\$113,300**

Total Liabilities & Equity = \$203,400

(Note: Slight rounding or classification differences can cause minor mismatches)

Let me know if you'd like this as a downloadable Excel or PDF file!